

EIC FRAMEWORK

Live Data Application for Indian Equity Markets — Enhanced Edition



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Session 1

Economy Analysis

Macro variables · regime map · India vs EM peers · global linkages · 3 key inferences → sector shortlist

Session 2

Industry Analysis

Porter's Five Forces applied · sector rotation history · five Indian industries · cross-sector comparison → 2 sectors selected

Session 3

Company Analysis

Seven lenses with examples · earnings quality red flags · DuPont applied · good company vs good stock · implied growth test

Session 4

Portfolio + Career Prep

EIC decision matrix · IC presentation · risk triggers · behavioral biases · interview questions from top firms

Growth Cluster

Real GDP (YoY %) · Nominal GDP
Sectoral GDP (Agriculture, Industry, Services)
IIP — Overall & Use-Based
Services PMI / Manufacturing PMI
Gross Fixed Capital Formation (GFCF)

Income & Demographics

Per Capita Income (Nominal & Real)
Household Savings Rate (%)
Gross Capital Formation / GDP
Labour Force Participation (LFPR)
Rural Wage Growth · PLFS Unemployment
Median Age · Urbanisation Rate

Inflation Cluster

CPI — Headline, Core, Food, Fuel
WPI — All Commodities, Mfg, Food
Consumer Food Price Index (CFPI)
Monsoon — deviation from LPA %
Reservoir Levels · Rural Wage Growth

Policy Cluster

Repo Rate · Reverse Repo · CRR · SLR
10Y G-Sec Yield · Yield Curve Slope
Fiscal Deficit (% of GDP)
Union Budget Capex vs Revenue Spend
PLI Scheme Outlay · MSP Hike %
Personal Income Tax Slabs

External Cluster

CAD (% GDP) · Trade Deficit
USD/INR · REER Index
FPI Equity / Debt Flows (\$ bn)
Foreign Exchange Reserves (\$bn)
Brent Crude (\$/bbl)
US Fed Funds Rate · DXY Index

Industry Variables

- NIM, GNPA, CASA Ratio, Credit Growth, CAR (Banking)
- Revenue CC%, EBIT Margin, Attrition, TCV, Utilisation (IT)
- Monthly Volume, Market Share, EV Penetration, ASP (Auto)
- R&D Intensity, US Price Erosion, USFDA Actions (Pharma)
- Volume vs Price Growth, Gross Margin, Rural Demand (FMCG)
- Industry Life Cycle Stage, Capacity Utilisation
- Porter's Five Forces score per sector

Company Variables

- Revenue Growth (3Y CAGR + latest)
- EBITDA Margin (absolute + trend)
- PAT Growth + OCF/PAT ratio (earnings quality)
- ROE / ROCE (DuPont components)
- Net Debt / EBITDA · Interest Coverage
- Working Capital Days (Receivable, Inventory, Payable)
- P/E, P/B, EV/EBITDA vs 5Y historical average
- WACC components · DCF implied terminal growth
- Earnings revision trend (3M, 6M, 12M)
- Beta vs Nifty · Pairwise sector correlation
- Insider ownership % · Related-party transactions
- Governance: Auditor type, Board independence

LEVEL 1

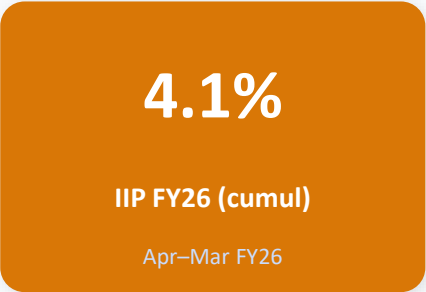
Economy Analysis

Macro regime identification · Transmission chain · India vs EM peers · Sector shortlist

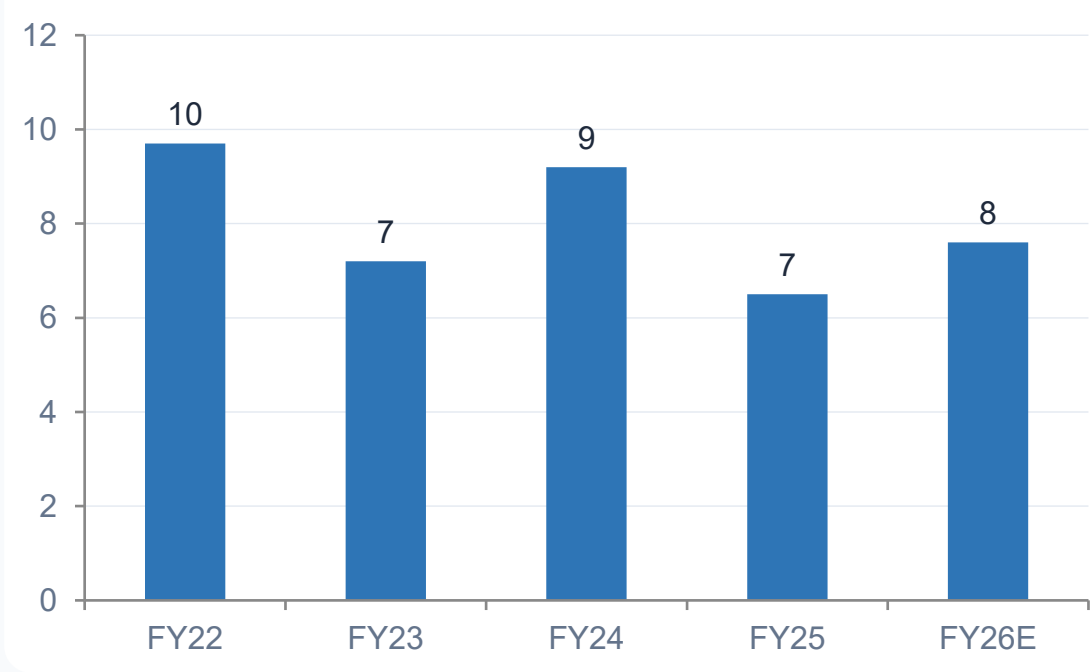
Growth Variables — Real Data (FY23–FY26)

ECONOMY LEVEL

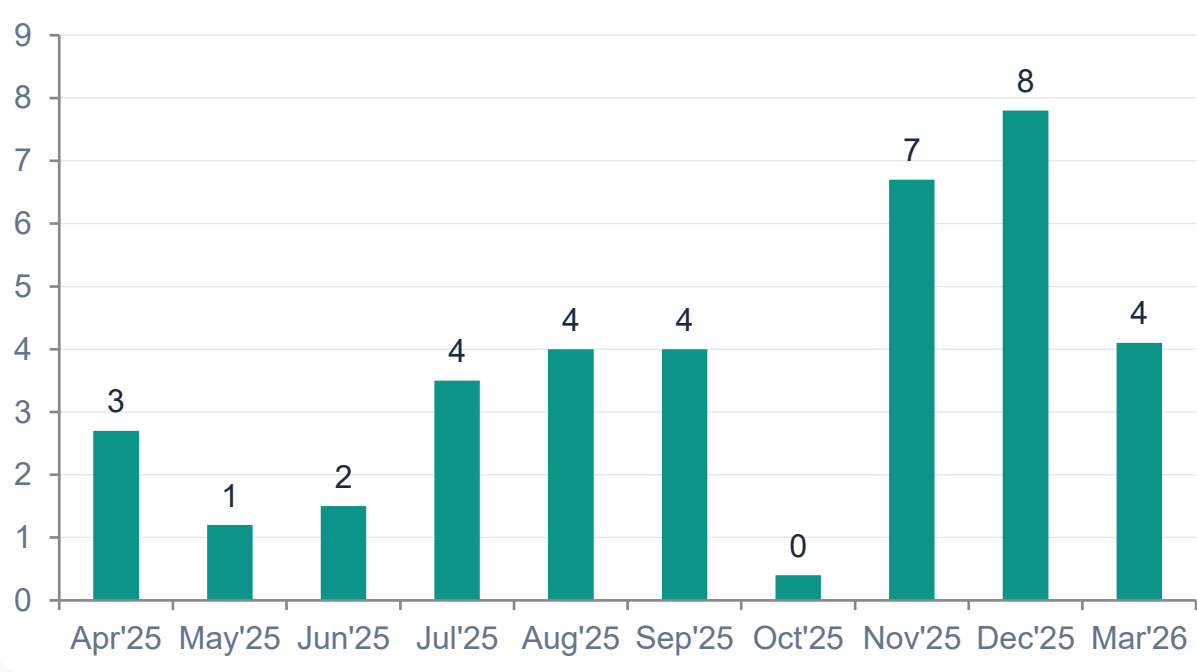
Sources: NSO/MoSPI (mospi.gov.in) · RBI DBIE (data.rbi.org.in) · PIB Press Releases



India Real GDP Growth (%) — FY22 to FY26E



IIP Growth (%) — Monthly Apr 2025 to Mar 2026



Sources: MoSPI CPI Releases · DPIIT WPI Releases · RBI MPC Statements · PIB (pib.gov.in)

5.4%

CPI FY24 avg

Above 4% target

4.6%

CPI FY25 avg

Lowest in 6 years

0.25%

CPI Oct'25

Multi-year low

-0.32%

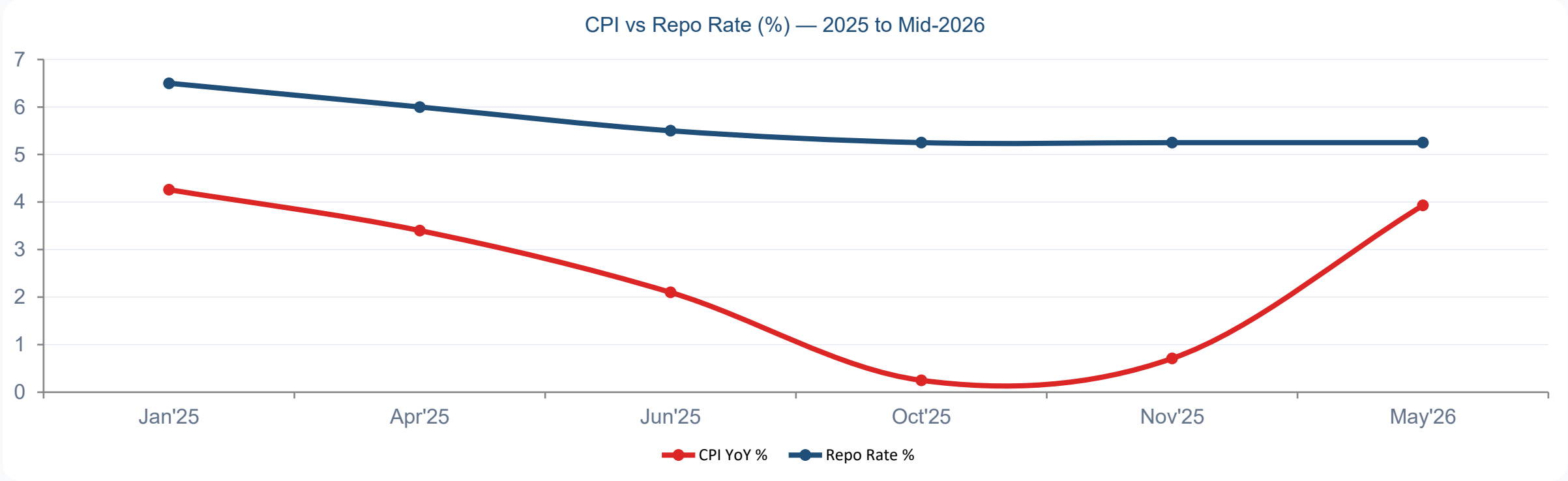
WPI Nov'25

Deflation zone

5.25%

Repo Rate

100bp cut FY25–26



Sources: RBI BoP Report · ICRA Research · tradingeconomics.com · PIB

1.3% GDP

CAD Q2 FY26

\$12.3bn — Benign

1.0% GDP

CAD Apr–Dec'25

Down from 1.4% yr ago

84–88

USD/INR

Depreciated 3.2% CY25

–\$4.3bn

FPI Equity FY26

Net outflows Apr–Dec

\$688bn

Forex Reserves

As of Mar 2026

Currency — Sector-Level Impact

5% INR depreciation → IT/Pharma EBITDA +50–80bp (1Q lag). Oil, Airlines, Electronics importers face 100–200bp margin headwind. Companies with unhedged USD debt carry additional refinancing risk.

FPI Outflow Context

Net FPI equity outflows of ~\$4.3bn Apr–Dec 2025 vs +\$9.4bn same period previous year. US tariff uncertainty + higher DXY drove EM rebalancing. Domestic MFs (SIPs ₹26,000 crore/month) absorbed selling pressure.

Current Account — Manageable Deficit

Services surplus ↑ to \$57.5bn driven by IT and GCCs. Remittances hit record \$33.9bn. CAD fell to 1.0% GDP (Apr–Dec 25) from 1.4% yr ago. External vulnerability is among the lowest in 10 years.

India vs Emerging Market Peers — Why FPIs Choose India

NEW · ECONOMY LEVEL

Sources: IMF World Economic Outlook 2025 · Bloomberg · MSCI EM Index Data · World Bank

Country	Real GDP FY25	CPI 2025	Fiscal Deficit	MSCI P/E	5Y GDP CAGR	FPI Verdict
India ★	6.5–7.6%	~2–4%	5.1% GDP	~22x	~7.0%	Structural overweight
China	4.5–5.0%	~0–1% (deflation risk)	~3.8% GDP	~11x	~5.5%	Tactical; governance concerns
Indonesia	5.0–5.2%	~2.5–3%	~2.7% GDP	~15x	~5.0%	Selective; commodity proxy
Brazil	2.5–3.0%	~4.5–5%	~7.5% GDP	~8x	~2.5%	Underweight; fiscal risk
Mexico	1.5–2.0%	~4–4.5%	~5.6% GDP	~14x	~2.0%	Neutral; nearshoring optionality

WHY INDIA COMMANDS A VALUATION PREMIUM

Rule of Law & Institutions

Independent judiciary, transparent SEBI regulation, creditor rights under IBC — institutional quality that China, Brazil cannot match. FPIs price in lower governance risk premium.

Demographics — Young & Growing

Median age 28 years (China: 39, US: 38). India adds ~1 million workers to labour force monthly. This is structural demand for financial services, housing, autos, and consumer durables for 20+ years.

Digital Infrastructure

UPI processes \$2.9 trillion annually. Aadhaar-linked infrastructure reduces friction costs. GST formalisation data is a unique analytical edge. No peer EM has comparable digital rails.

Services Surplus Insurance

\$189bn services trade surplus in FY25 (IT, GCCs, BPO). This structurally protects the CAD even when merchandise trade widens. Makes India less vulnerable to commodity cycles than Brazil, Indonesia.

CURRENT REGIME: ACCELERATING RECOVERY · LOW INFLATION · RATE-CUT CYCLE · MODERATE EXTERNAL RISK

GDP 7.6% · CPI < 4% (well below target) · Repo at 5.25% (down 100bp) · INR mildly weak · FPI moderately negative

Regime	Conditions	Overweight	Underweight
Early Recovery ✓ (Now)	GDP accelerating, CPI below target, rate-cut bias, INR mildly weak, FPI mixed	Banks, Autos, Capital Goods, Industrials	Pure defensives (FMCG, Utilities)
Late Expansion	GDP strong, CPI rising, rates rising, INR weak, FPI cautious	Banks (NIM-led), Commodity cyclicals, Metals	High-growth long-duration stocks
Slowdown	GDP weakening, disinflation, rate cuts likely, FPI outflows	FMCG, Pharma, Utilities, Quality compounders	Cyclicals, Levered names, Deep cyclicals
External Shock	CAD widening, INR sharp fall, global risk-off, oil spike	Exporters (IT, Pharma), Defensives, Gold	Importers, Airlines, Levered names

THREE MACRO INFERENCE

1. Rate-Cut Tailwind

Repo cut 100bp to 5.25%. Transmission underway — retail lending rates falling. Credit-demand revival expected in H2 FY26. Equity risk premium declines. Benefits all rate-sensitive sectors and compresses cost-of-equity for long-duration stocks.

2. Benign Inflation = Margin Relief

WPI in deflation (−0.32% Nov 25). Input costs for FMCG, Auto, Paints, Chemicals contracting. Gross margin expansion cycle in progress. Companies with pricing power retain gains while passing through cost relief.

3. INR Depreciation = Export Tailwind

INR down 3.2% CY25. IT services and pharma EBITDA margin expansion of 50–80bp per 5% INR fall. USD revenues of ₹ translating at higher rates — a silent EPS upgrade.

SECTOR SHORTLIST

Banking & Financial Services

Rate-cut → credit demand revival; GNPA at historic lows; private bank re-rating

OW

Information Technology

INR depreciation tailwind; FY26 guidance 2–3% CC growth; AI deal wins building

OW

Automobiles

Interest-rate sensitive; falling loan rates + benign input costs; EV momentum

OW

FMCG / Consumer Staples

WPI deflation benefits gross margins; rural demand picking up; defensives

N

Pharmaceuticals

INR tailwind; domestic chronic steady; US pipeline risk limits upside

N

OW = Overweight · N = Neutral · UW = Underweight

LEVEL 2

Industry Analysis

Five sectors · Porter's Five Forces applied · Sector rotation history · Two selected

01

Nature of Industry

Growth / Cyclical / Defensive / Interest-sensitive — sets baseline multiple

02

Industry Life Cycle

Emergence → Growth → Maturity → Decline — shapes margin and capex expectations

03

Business-Cycle Sensitivity

Lead / Coincident / Lagging — drives timing of sector rotation calls

04

Competitive Structure

Porter's Five Forces — determines sustainability of margins and ROCE

05

Policy & Regulation

Stability, direction, surprise risk — affects margin floors and risk premium

06

Technology Disruption

Substitution risk and productivity shift — re-rates the long-term multiple

07

Supply–Demand Balance

Capacity additions, inventory cycles — drives near-term earnings revisions

08

Capital Flows

DII, FPI, retail, insurance — affects multiples independently of fundamentals

09

PESTEL / SWOT Overlay

Political, environmental, legal factors — tail-risk and risk premium adjustments

Sources: RBI Banking Reports · NASSCOM · BCG · Company Annual Reports · ICRA Research

Porter's Force	Banking & Financial Services	Information Technology Services
Rivalry Among Existing Competitors	HIGH — 12 large private banks + 12 PSU banks competing for CASA deposits, retail credit, digital platforms. HDFC Bank, ICICI Bank, SBI account for 40%+ of system assets.	MODERATE — Top-3 Indian IT firms (TCS, Infosys, HCL) dominate but compete on talent and pricing. AI is reshaping the nature of competition — from headcount to IP.
Threat of New Entrants	LOW–MODERATE — RBI licensing is a near-impenetrable barrier. Recent payment bank/SFB licences show regulatory control. Fintech entry is real but complementary more than substitutive.	MODERATE — Low capital requirements for IT services. New GCC centres (captives) are the real threat — clients bringing work in-house. Accenture and IBM compete at premium end.
Bargaining Power of Buyers	LOW–MODERATE — Retail depositors and borrowers have limited individual power. Large corporates can negotiate rates. CASA competition is the biggest buyer-power expression.	HIGH — Large US/EU clients (BFSI, retail) have significant pricing power. Repeat-business contracts give some leverage to IT firms, but clients increasingly use multi-vendor strategies.
Bargaining Power of Suppliers	LOW — Capital is raised from millions of depositors. Wholesale funding is rate-sensitive but diversified. Technology vendors have some leverage on core banking software.	HIGH — Software engineers are the scarce input. Attrition was 20–25% in FY22–23. Wage inflation and talent wars compressed margins significantly. AI reskilling is now reducing this risk.
Threat of Substitutes	MODERATE — Mutual funds substituting savings deposits (financialisation of savings). UPI platforms eroding transaction fees. NBFCs taking credit share in MSME and gold loan segments.	HIGH (and Rising) — Generative AI automates 20–40% of code writing, testing, and documentation. Pricing pressure on commoditised IT work is real. Winners will be firms with proprietary AI tools and complex system integration capability.

Sources: BCG Banking Roundup FY25 · SBI Research · ICRA · RBI · indiamacroindicators.co.in

10.9%

System Credit Growth FY25

Moderated from 16% FY24

2.2%

Industry GNPA

Down from 5.8% FY22

3.1%

Average NIM (Banks)

Stable; under pressure FY26

+16%

Bank PAT Growth

YoY FY25 (lower provisions)

< 2.3%

Pvt Bank GNPA

Historic lows Dec 2025

Structural Story

Private banks gained PSU market share for a decade. CASA-rich retail-led private banks (HDFC, ICICI) command P/B premium. Financialisation of savings driving long-term credit demand growth above nominal GDP.

FY26 Outlook

Credit growth expected at 11–11.7% in FY26. NIM pressure from repo rate cuts (floating-rate loans reprice faster than deposits). Credit cost rising mildly from unsecured and MSME segments. CASA competition intense.

Rate-Cut NIM Dynamics

Rate cuts → short-term NIM compression (asset repricing leads liability repricing). Medium-term: credit demand revival outweighs short-term NIM headwind. HDFC Bank has high fixed-rate book → less NIM compression. SBI has government deposits → different liability structure.

Sources: Infosys SEC 6-K Filings · TCS Q4 FY25 Earnings · ICRA IT Outlook · PIB

4.2%

Infosys FY25 CC Growth

Guided 4.5–5.0% initially

3.3% CC

Infosys H1 FY26

FY26 guidance: 2–3% CC

21.1%

Oper. Margin FY25

50bp expansion over FY24

\$11.6 bn

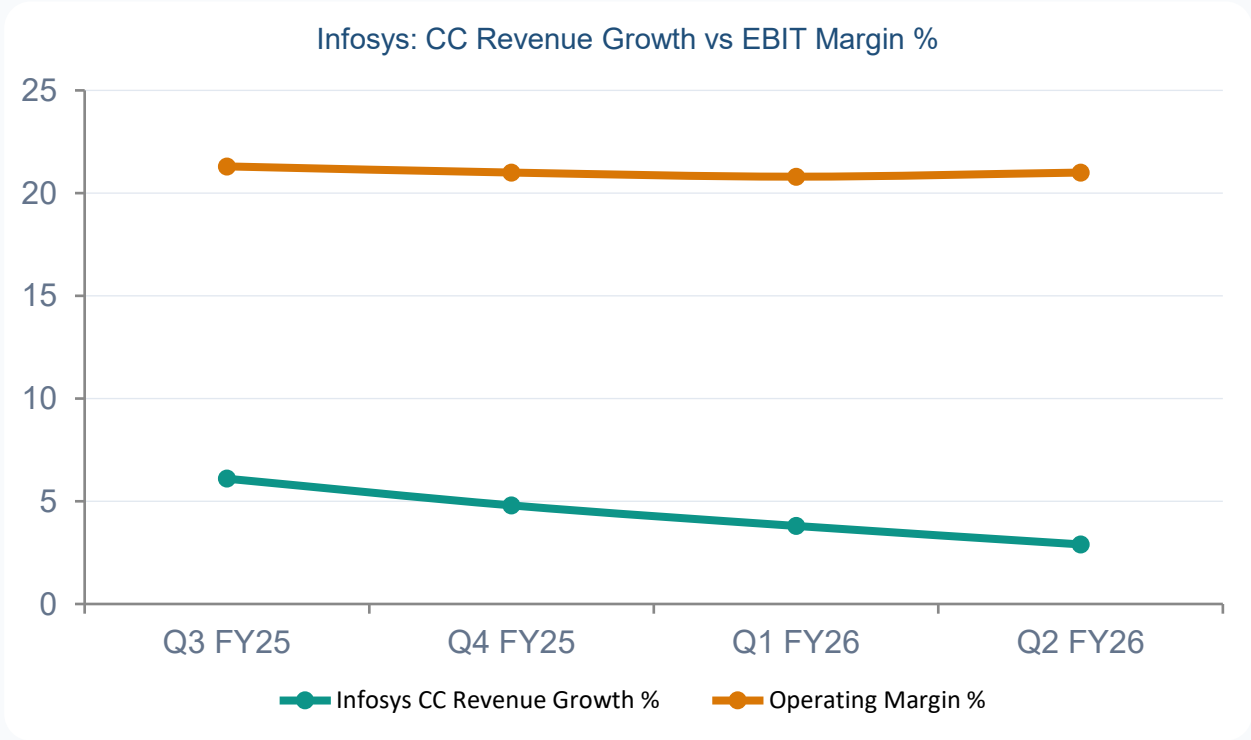
Large Deal TCV FY25

56% net new — quality

↑50–80bp

INR Impact

Margin per 5% INR fall



GenAI — Opportunity or Threat?

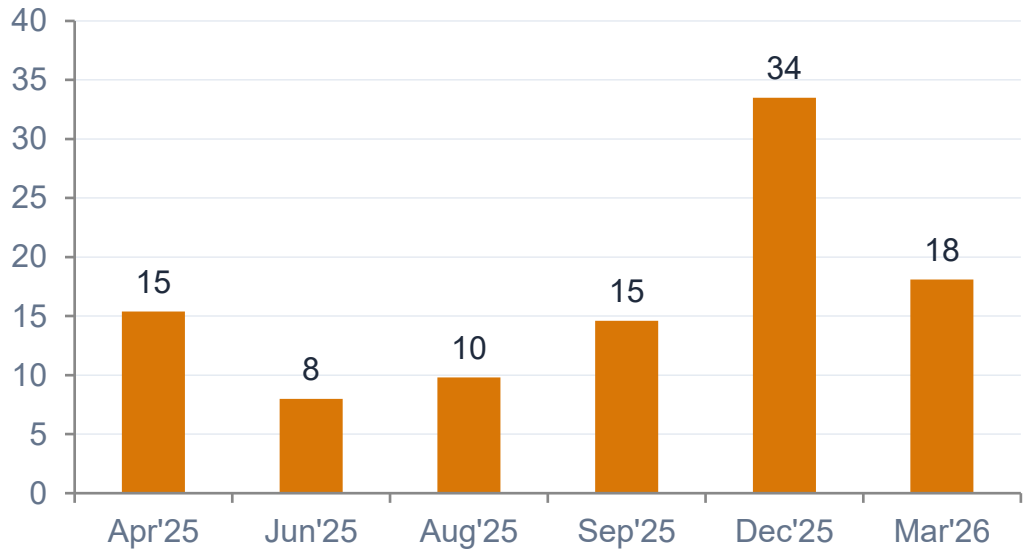
AI is reshaping IT services: productivity tools compress labour hours but new AI deal types emerge. Deal TCV with 55–67% net new signals consolidation wins. Infosys Topaz gaining traction. Pricing compression on LEGACY work (testing, routine code) is real — 10–15% price erosion per year. Offset by higher-priced AI/cloud transformation work.

US BFSI Dependency & Tariff Risk

US BFSI = 55–60% of revenue for top-3. US tariff uncertainty + slower discretionary spend = cautious FY26 guidance. India-UK FTA signed — modest but positive for IT exports to EU. Key signal to watch: ISM US Services PMI (correlated with IT deal velocity 1–2 quarters ahead).

Sources: SIAM Monthly Data · IIP Motor Vehicles · Maruti/M&M/Tata Results · ACMA

Motor Vehicle IIP Growth — FY26 Monthly



Rate-Cut Impact **Positive**

WPI Deflation (Steel, Rubber) **Margin +ve**

INR Depreciation **Neutral-Mixed**

Crude Oil Risk **Monitor**

Sub-Segment Investment Matrix

- PV (Maruti, Tata, M&M): Urban income + interest rates
- 2W (Hero, Bajaj, TVS): Rural wages + monsoon + fuel prices
- Tractors (M&M Farm Equip): Rainfall, MSP, rural credit
- CV (Tata Motors, Ashok Leyland): Industrial activity, freight

EV Transition — Multiple Compression or Re-Rating?

The most contested valuation debate in Indian autos. Tata Motors (EV leadership) re-rated to structural multiple. Maruti (ICE leader, EV laggard) holds cyclical discount. The question: does Maruti's massive cash flow (\$2bn+) eventually fund the EV catch-up or lose PV market share permanently? Student debate: 5-year price target on Maruti — defensive hold or structural short?

FMCG & Consumer Staples

- WPI deflation → commodity costs (palm oil, packaging, crude derivatives) contracting → gross margin expansion cycle, esp. for HUL, Nestlé
- Volume vs Price watch: revenue growth built on pricing > volume = demand stress. Market punishes this when volumes turn negative two consecutive quarters (see HUL H1 FY24)
- Rural demand recovery: CPI food deflation + rural wage growth = positive for mass-market brands. Urban premiumisation is the structural multi-year story
- Premiumisation: Rising per capita income drives Nestlé-style premium growth independently of rural cycles. Check volume in premium vs economy SKUs separately
- Defensive in slowdown: outperforms when GDP weakens, rates are cut. Currently in early recovery = underweight vs cyclicals; hold quality core only
- Current regime: NEUTRAL — cyclicals more attractive. Avoid reducing below benchmark weight in case global shock triggers regime shift

Pharmaceuticals & Healthcare

- Dual engine: India domestic formulations (chronic, stable, 70%+ of profits for most cos) + US generics (volume-led, price erosion, regulatory risk)
- R&D intensity: 6–10% of sales. Pipeline investments compound over 3–5 years. Specialty pipeline (Ilumya, Cequa for Sun Pharma) = multiple re-rating catalyst
- USFDA risk: Warning letters compress valuation 15–25% in a session. This is the sector's ONLY binary event risk. Position sizing must reflect it
- INR tailwind: 3.2% INR depreciation in CY25 provides direct margin support for US-facing companies. Every 1% INR depreciation = ~0.2% EBITDA expansion
- ICRA IT/pharma exports: IT services growth 2–3% USD in FY26; non-IT (GCCs) growing faster. Pharma US base faces erosion; specialty offsets
- Current regime: NEUTRAL — retain as defensive ballast; avoid high US-regulatory-risk positions ahead of scheduled USFDA inspections

Sector	Cyclicality	Dom/Export	Primary Macro Driver	FY26 Regime Tilt	Stance	Selected?
Banks / BFSI	Pro-cyclical	Domestic	Rates, credit growth, GNPA	Rate-cut → credit demand revival	Overweight	★ YES
IT Services	Global cyclical	Export (USD)	US tech spending, USD/INR	INR +ve offset by soft US demand	Overweight	★ YES
Automobiles	Cyclical	Dom + export	Income, fuel, rates, monsoon	Rate-cut + WPI deflation positive	Overweight	Exercise
Pharmaceuticals	Defensive	Mixed (US heavy)	USFDA, INR, domestic chronic	INR +ve; regulatory risk = neutral	Neutral	—
FMCG	Defensive	Domestic	Rural demand, commodity costs	WPI deflation margins; cyclicals lead	Neutral	—

INDUSTRY ANALYSIS CONCLUSION — 2 SECTORS SELECTED FOR COMPANY DEEP-DIVE

★ SECTOR 1: BANKING & FINANCIAL SERVICES

Rate-cut cycle directly benefits credit demand and capital formation. GNPA at historic lows (2.2%). Private bank re-rating incomplete. 16% credit growth in FY26 plausible. Porter's: Rivalry moderate; substitution (NBFCs) manageable; new entrant threat low (RBI licensing). Strongest macro-to-earnings linkage.

★ SECTOR 2: INFORMATION TECHNOLOGY

INR depreciation provides direct margin support. Deal pipeline quality improving (55–67% net new). AI consolidation benefiting large players. Porter's: Buyer power HIGH — managed through consolidation deals. Substitution risk from GenAI real but managed. Defensive USD revenue in domestic uncertainty.

Sector Rotation History — 10 Years of Indian Market Regimes

NEW · INDUSTRY LEVEL

Sources: NSE Sectoral Indices · Bloomberg · RBI Annual Report · MoSPI · Company Earnings

Period	Macro Regime	Leading Sectors	Lagging Sectors	Investment Lesson
FY15–16	DeMon shock + RBI rate cuts; GDP slows	IT (USD hedge), Pharma (US generic boom)	Banks (NPAs exposed), PSU Banks (worst)	Asset quality > earnings in stressed cycle
FY17–18	GST disruption; gradual recovery; INR stable	Private Banks (GNPA provisioned), FMCG (organised gain)	Small-caps, mid-caps; informal economy stocks	GST = formalisation winners vs losers trade
FY18–19	IL&FS crisis; NBFC contagion; RBI pause	IT (safe haven), Defensives, Cash	NBFCs, small finance, mid-cap banks	Credit contagion spreads faster than fundamentals
FY20–21	COVID crash + massive rate cuts + fiscal stimulus	Pharma (COVID tailwind), IT (WFH demand), FMCG	Banks (NPA fears), Autos, Hospitality	Pandemic = structural acceleration of digital trends
FY21–22	Post-COVID recovery; record FPI flows; low rates	Banks, Capital Goods, Auto recovery, Real Estate	IT (relative underperform vs cyclical surge)	Early-recovery cyclical rotation — textbook regime
FY22–23	Global inflation; Fed hike cycle; rupee 83+	IT (INR tailwind), Pharma, FMCG	Banks (rate hike fears), Small-cap growth	Global tightening = defensives and exporters
FY24–25	GDP 7.6%; CPI moderation; rate cuts begin	Banks (rate cut beneficiary), Auto (demand revival)	Defensives (FMCG at relative underweight)	Rate-cut cycle = current regime; history rhyming

Market regimes rhyme but do not repeat exactly. The discipline is to identify WHICH historical parallel is most relevant — not to assume the past will repeat mechanically.

L E V E L 3

Company Analysis

Seven lenses · Earnings quality · DuPont applied · Good company vs good stock

L1

Business Model & Moat

Why does this company earn supernormal returns?

ICICI Bank: CASA franchise (low-cost deposits) + retail branch network. TCS: global delivery model — impossible to replicate at 600k employees overnight.

L2

Product Mix & Capex

Is the company investing in what will matter in 5 years?

Infosys: AI/cloud capex (\$500m+ in Topaz AI). Tata Motors: ₹15,000cr EV capex in India PV. HUL: premiumisation SKU mix shift.

L3

Profitability & Cash Flow

Does P&L tell the same story as cash flow?

Nestlé India: OCF/PAT consistently >100% → earnings are real. Watch for companies where OCF/PAT < 70% for 3 years — hidden distress.

L4

Capital Structure & Leverage

Can the balance sheet survive a bad year?

Maruti Suzuki: Net cash (no debt). Tata Motors: Net debt declining — deleveraging thesis. Pharma startups: often leveraged on R&D capex — high risk.

L5

Working Capital & DuPont

Is ROE from operations or financial engineering?

FMCG companies: asset-light, high asset turnover. Banks: DuPont needs modified approach ($ROA \times \text{Leverage}$). Decompose before comparing across sectors.

L6

Governance & Management

Can shareholders trust the people running the company?

HDFC Bank: 4 independent directors on board audit; Big-4 auditor. Related-party transactions > 15% revenue = red flag. Check auditor tenure.

L7

Valuation — All Methods

At today's price, what return does the market expect?

ICICI Bank at 3.5x P/B: implies 18% ROE perpetually. Solve: is 18% ROE achievable? If yes, the premium is justified. Gordon Growth checks: $g = ROE \times (1 - \text{payout})$.

Banking Companies — HDFC Bank vs ICICI Bank vs SBI (FY25)

COMPANY LEVEL

Sources: Company Annual Reports FY25 · Screener.in · BCG Banking Roundup FY25 · RBI

Metric	HDFC Bank	ICICI Bank	State Bank of India
Business Model	Retail-led; post-merger deposit normalisation; CASA-driven	Diversified retail + corporate; digital execution leader	Universal PSU bank; scale + Government franchise
Net Interest Margin	~3.5% (near-term pressure from deposit repricing)	~4.4% (best in class; improving mix)	~3.2% (treasury-driven volatility)
GNPA %	~1.4% (stable)	~2.0% (improving; 10Y best for ICICI)	~2.2% (historic 10Y best for PSU)
Return on Equity	~17% (quality franchise)	~18% (sector-best; rising)	~20% (leveraged; government deposit cost advantage)
Credit Growth FY25	~8% (merger effect; normalising)	~17% (outperforming; market share gains)	~12% (stable PSU)
P/B Multiple	~2.5x (quality premium; may compress)	~3.5x (re-rating underway; room vs HDFC's quality)	~1.5x (PSU governance discount; capex cycle bet)
Analyst Stance	HOLD — quality priced in; await CASA recovery	BUY — best risk-adjusted story; re-rating story	TACTICAL — capex cycle exposure at deep value
Key Risk Trigger	Deposit growth falls below 10% for 2Q	NIM drops > 30bp; credit cost > 0.8%	Slippage from corporate restructuring portfolio

IT Companies — TCS vs Infosys vs HCLTech (FY25–26 Data)

COMPANY LEVEL

Sources: Infosys SEC 6-K Filings · TCS/HCLTech Investor Presentations · NASSCOM

Metric	TCS	Infosys	HCLTech
Revenue FY25 (USD)	~\$30 bn (absolute market leader)	\$19.3 bn (4.2% CC growth)	~\$13 bn (differentiated business mix)
CC Revenue Growth FY25	~4% (broad-based; stable)	4.2% (guided 4.5–5.0%; beat mid-range)	~5% (above peers; infra + engineering R&D)
Operating Margin	~24% (best-in-class; consistent)	21.1% (50bp YoY expansion; 40Y high FCF)	~18% (improving; mix shift in progress)
Large Deal TCV FY25	Consistently strong; breadth advantage	\$11.6 bn (56% net new — quality metric)	Infra-led wins; engineering R&D bookings
AI Positioning	TCS.ai — 150+ AI solutions for enterprises	Topaz — enterprise AI differentiator; reskilled 300k	Engineering R&D + AI integration; GCC advisory
FCF / PAT Ratio	~110% (high quality)	131% (FY26 H1 — highest ever)	~95% (improving)
P/E Multiple	~28x (sector-leading premium)	~26x (discount to TCS narrowing)	~24x (cheapest; mix perception discount)
Analyst Stance	HOLD — quality anchor; limited re-rating	BUY — re-rating story; guidance improvement	SELECTIVE — margin re-rating potential

Sources: Company Annual Reports · MCA Filings · Screener.in · Historical Indian corporate cases

Reported earnings $\neq$ Real earnings. The gap between them is where fortunes are lost.

OCF/PAT < 0.7 for 3+ Years

If operating cash flow is persistently below 70% of net profit, revenue recognition may be aggressive or receivables are building. Test: compare OCF vs PAT over 5 years.
Indian Case: Several infrastructure companies (pre-2018) showed PAT growth while OCF was negative. IL&FS printed profits for years before the collapse.

Working Capital Days Exploding

Days Sales Outstanding (DSO) rising > 90 days + inventory days rising + payable days stable = cash trap. The company is financing its customers out of its own pocket.
Indian Case: Specialty chemicals and pharma companies occasionally show this. Check if DSO is rising in tandem with revenue to distinguish true demand from "channel stuffing".

Related-Party Transactions > 15% Revenue

Transactions with promoter entities at non-arm's-length prices can transfer value away from minority shareholders. SEBI mandates disclosure — read Note 37 in Annual Report.
Indian Case: Adani Group companies (pre-2023 re-rating), Zee Entertainment, and various promoter-led mid-caps have had related-party transaction concerns that affected institutional allocation.

Goodwill Impairment Risk

Acquisitions create goodwill on the balance sheet — an intangible that must be tested annually for impairment. A large goodwill/equity ratio (> 30%) with deteriorating acquired business = impairment write-down risk that collapses PAT.
Relevant for: IT companies post-acquisitions (Infosys US buyouts), pharma companies with US acquisitions.

Divergence: EBITDA vs PAT

If EBITDA margin is stable but PAT margin is falling, check for (a) rising depreciation (rapid capex), (b) rising interest cost (debt-funded capex), or (c) rising minority interest (new JV losses). None of these show in EBITDA.
Discipline: Always reconcile EBITDA → EBIT → PBT → PAT → OCF. A falling margin at any stage needs an explanation.

Auditor Change or Qualification

An unexpected change in statutory auditor, especially from Big-4 to a smaller firm, is a governance red flag. Audit qualifications on inventory valuation, deferred tax assets, or going-concern doubts are material.
Indian Case: Satyam (2009) had Arthur Andersen then PwC concerns; Cafe Coffee Day (2019); numerous NBFC cases post-2018.

DuPont Decomposition — ICICI Bank vs Infosys (Applied)

NEW · COMPANY LEVEL

Sources: Company Annual Reports FY25 · Screener.in · RBI Database · Equitymaster

ROE = Net Profit Margin × Asset Turnover × Financial Leverage | Or for banks: ROE = ROA × Equity Multiplier

ICICI Bank — Modified DuPont (Banking)				
DuPont Component	FY23	FY24	FY25	Signal
Net Interest Margin (NIM)	4.0%	4.53%	4.4%	Stable-improving
Net Profit / Average Assets (ROA)	1.85%	2.35%	2.4%	Rising — quality signal
Equity Multiplier (Assets/Equity)	7.2x	7.0x	7.4x	Moderately levered
Return on Equity (ROE)	13.3%	16.5%	17.8%	Clear improvement trend
Provision Coverage Ratio (PCR)	79%	82%	84%	Rising — conservative
Credit Cost / Avg Advances	0.75%	0.42%	0.35%	Falling — earnings lever

Infosys — Classic 3-Factor DuPont				
DuPont Component	FY23	FY24	FY25	Signal
Net Profit Margin	16.2%	17.0%	17.3%	Rising — positive
Asset Turnover	1.55x	1.58x	1.63x	Rising — capital efficient
Financial Leverage (Assets/Equity)	1.90x	1.85x	1.80x	Falling — deleveraging
Return on Equity (ROE)	~47.7%	~49.7%	~50.7%	Consistently exceptional
FCF / PAT Ratio	93%	98%	131%	Rising — quality improving
Dividend + Buyback Payout	~85%	~90%	~94%	Capital return discipline

KEY INSIGHT: Infosys ROE of ~50% comes primarily from HIGH MARGIN (17%) and HIGH ASSET TURNOVER (1.6x) — NOT leverage. ICICI Bank's ROE of ~18% comes from MODERATE ROA (2.4%) × HIGH LEVERAGE (7.4x) — standard for banks. DuPont forces you to understand the SOURCE of returns before attributing quality.

Every stock recommendation must clear this test. If you cannot answer all four in < 2 pages of analysis, the thesis is soft.

Applied to ICICI Bank		Applied to Infosys	
Q1. Which 2–3 macro variables matter most?	RBI repo rate (NIM + demand) System credit growth GNPA / credit cost cycle	USD/INR exchange rate US technology spending (ISM Services) Deal TCV net new %	Tests whether you have done EIC top-down. An analyst who says "ICICI is a quality franchise" without naming the macro drivers has not completed Level 1.
Q2. Does the company benefit under current regime?	YES — rate-cut cycle → retail credit revival; GNPA at historic lows; ROE at 18% rising	PARTIAL — INR depreciation (margin +ve); US BFSI cautious (growth -ve); consolidation +ve	Tests whether you are making a macro call or just picking a quality name. Partial = the case for Infosys requires a view on BOTH the INR AND the US cycle.
Q3. Is the company better positioned than peers?	YES vs HDFC Bank (credit growth 17% vs 8%); YES vs SBI (ROE + governance quality)	YES vs HCLTech on EBIT margin (21% vs 18%); PARTIAL vs TCS (broader deal pipeline)	Forces peer-relative thinking. You cannot own ICICI unless you have rejected HDFC and SBI with reasons. An IC will always ask: "Why this company and not X?"
Q4. Is the advantage already in the price?	PARTIAL — P/B 3.5x below HDFC's 2.5x on P/B basis; re-rating gap still exists vs ROE quality	PARTIAL — 26x P/E; FCF yield ~4.5%; multiple gap vs TCS (28x) closing but not gone	The most important question. "Great company, fully priced" = no alpha. ICICI and Infosys both still have room — but the margin of safety is thin. Size positions accordingly.
EIC FRAMEWORK Dr. Srikanth Potharla M.Com., M.Phil., FCMA., UGC-NET., Ph.D.			

Valuation Comparison + Implied Growth Analysis (FY25)

COMPANY LEVEL

Sources: NSE/BSE Market Data · Screener.in · Equitymaster · Company Annual Reports · Consensus Estimates

Company	P/E (CY)	P/B	ROE %	FCF Yield	Implied Ke	Implied g (Gordon)	Historical g (5Y)	Verdict
HDFC Bank	~20x	~2.5x	~17%	~3.5%	~12%	~7% perpetual	EPS CAGR ~12%	Fairly valued
ICICI Bank	~22x	~3.5x	~18%	~3.2%	~12%	~8% perpetual	EPS CAGR ~20%	Slight discount to quality
SBI	~9x	~1.5x	~20%	~6.8%	~13%	~2% perpetual	EPS CAGR ~25%	Deep value; PSU discount
TCS	~28x	~14x	~52%	~3.2%	~13%	~9% perpetual	CC rev CAGR ~8%	At upper historical bound
Infosys	~26x	~8x	~32%	~4.5%	~13%	~8% perpetual	CC rev CAGR ~7%	Slight discount to quality
HCLTech	~24x	~7x	~25%	~4.8%	~13%	~7% perpetual	CC rev CAGR ~9%	Cheapest on quality-adj basis

HOW TO COMPUTE GORDON GROWTH IMPLIED g

$$P/E = 1 / (K_e - g) \rightarrow g = K_e - (1/P/E)$$

Example: Infosys P/E = 26x, $K_e = 13\%$ $\rightarrow g = 13\% - (1/26) = 13\% - 3.8\% = 9.2\% \approx$ rounded to ~8%

Interpretation: the market prices Infosys as if earnings grow at 8% perpetually. Historical CC revenue CAGR is 7–8%. Priced for perfection — not overvalued, but margin of safety is thin.

QUALITY RULE: A P/E premium > 30% sustained over 5 years without comparable ROE / FCFE improvement is a warning sign. Check the source of ROE improvement (margin, turnover, leverage) before concluding quality justifies the premium.

A stock's expected return = the gap between fundamentals and market expectations — not the quality of the company alone

01

Implied Growth Test

Solve for the growth rate that makes today's price the PV of future cash flows at cost of capital.

$$P/E = 1/(K_e - g) \rightarrow g = K_e - 1/P/E$$

Example: TCS at 28x P/E, $K_e=13\% \rightarrow g = 13\% - 3.6\% = 9.4\%$. Historical EPS CAGR = ~12%. Implied growth is BELOW historical — means TCS could still have upside if it sustains past growth. But 9.4% perpetual revenue growth from a \$30bn base is aggressive. The market is pricing moderate deceleration.

02

Margin of Safety Test

Run a DCF with CONSERVATIVE assumptions: terminal growth -50bp below consensus, WACC +50bp above consensus. If stock still trades at a discount under bear-case DCF $\rightarrow$ true margin of safety exists.

Example: Infosys bear-case: terminal CC growth 5% (vs base 7%), WACC 14% $\rightarrow$ fair value ~₹1,450. If CMP is ₹1,380 $\rightarrow$ margin of safety exists (~5%). Thin but present.

03

Catalyst Inventory

Name the SPECIFIC events that close the gap between fundamentals and price in the next 6–12 months.

ICICI Bank catalysts: (1) Q-result showing credit growth sustaining >15%, (2) GNPA below 2%, (3) Management guidance upgrade on NIMs.

Infosys catalysts: (1) FY26 guidance upgraded from 2–3% to 3–5% CC, (2) US BFSI spending revival signals, (3) AI deal wins announced.

No named catalyst = thesis is a wish, not a trade.

ICICI Bank

BUY

18% ROE sector-best; credit growth 17% FY25; re-rating from PSU share gains; 3.5x P/B still has room vs franchise quality; DuPont ROA rising (not leverage); FCF yield 3.2%; catalyst: guidance upgrade.

HDFC Bank

HOLD

Post-merger deposit normalisation in progress; credit growth compressed to 8%. Quality undisputed but at 2.5x P/B — priced for perfection. Await CASA ratio recovery and credit growth re-acceleration before adding.

SBI

TACTICAL

Capex cycle exposure at deep value (9x P/E, 1.5x P/B). PSU governance and treasury volatility limit conviction. Implied perpetual $g = 2\%$ vs 25% historical EPS CAGR — severe pessimism already priced. Small tactical position.

Infosys

BUY

H1 FY26 CC growth 3.3%; \$4.1bn FCF (highest ever); ROE 30.4% rising; AI consolidation winning; 26x P/E — implied g of 8% achievable. Catalyst: FY26 guidance upgrade to 3–5% CC. FCF/PAT 131% = earnings quality confirmed.

TCS

HOLD

Market leader; 24% EBIT margin; quality premium justified. At 28x P/E, implied $g = 9.4\%$ at upper historical bound. Hold as portfolio anchor; don't add aggressively at current multiple. TCS is a quality bond, not a growth story.

HCLTech

SELECTIVE

Differentiated infra + engineering R&D mix; 5% CC growth FY25 (above peers); cheapest multiple at 24x; FCF yield 4.8%. Select for margin re-rating theme. Risk: smaller BFSI vertical = less AI consolidation benefit than TCS/Infosys.

LEVEL 4

Portfolio Integration + Career Prep

EIC decision matrix · IC format · Behavioral biases · Interview prep · Analytical edge

Every row = a chain: Macro Signal → Sector → Company Beneficiary → Company at Risk → Valuation Input → Action → Risk Trigger

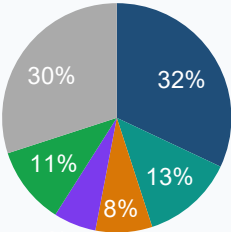
Macro Signal	Sector / Company +ve	Company at Risk	Valuation Input	Portfolio Action	Risk Trigger
Repo rate cut 100bp done; 50bp more expected	Banks (ICICI, HDFC); Autos (Maruti, M&M)	NBFCs with floating liabilities	Cost of equity ↓; demand growth ↑	OW private banks; add Autos	NIM compression > 30bp; credit-cost surprise
INR depreciation 3.2% CY25	IT (Infosys, TCS, HCLTech); Pharma (Sun, Cipla)	Oil OMCs, Airlines, Electronics importers	EBITDA margin ↑ 50–80bp	Maintain OW IT; tilt to Infosys	Sharp INR reversal; US tech budgets cut sharply
WPI in deflation; input costs falling	FMCG (HUL, ITC, Nestlé); Paints; Autos (margin)	Industrial exporters (deflation hurts realisations)	Gross margin ↑ 80–120bp	Neutral FMCG; hold quality core; trim if cyclicals lead	Crude surge reverses WPI deflation above 3%
US BFSI tech spend soft; tariff uncertainty	TCS (defensive breadth; BFSI scale)	Infosys (higher discretionary exposure)	Revenue growth ↓; multiple compression risk	Tilt IT to TCS from Infosys; reduce absolute IT weight	TCV deal win falls >15% YoY two consecutive Q
GDP 7.6%; capital goods IIP +8%; capex revival	Banks (ICICI corporate; SBI wholesale); Capital goods	Pure defensives (FMCG, Utilities)	Loan growth ↑; sector multiple re-rates	Add SBI selectively (capex bet); OW industrials	Capex announcements stall; slippage rises from restructured

Model Portfolio — Five-Sector EIC-Driven Allocation (vs Nifty 50)

PORTFOLIO LEVEL

Sector	Stance	Weight	Stocks (Weights)	One-Line Justification
Banking & Financial Services	OW +3pp	32%	ICICI Bank 14% · HDFC Bank 12% · SBI 6%	Rate-cut cycle; ICICI re-rating; SBI for capex exposure
Information Technology	OW +1pp	13%	Infosys 6% · TCS 5% · HCLTech 2%	INR margin tailwind; Infosys re-rating; TCS as quality anchor
Automobiles	OW +2pp	8%	Maruti 3.5% · M&M 3% · Tata Motors 1.5%	Rate cuts + benign inputs + rural recovery + EV optionality
Pharmaceuticals	Neutral	6%	Sun Pharma 3% · Cipla 2% · Dr. Reddy's 1%	Defensive ballast; INR positive; trim DRL on regulatory risk
FMCG / Consumer Staples	UW -3pp	11%	HUL 5% · Nestlé India 3% · ITC 3%	Regime favours cyclicals; retain quality core; reduce defensives
Other / Cash Buffer	—	30%	Nifty tracking allocation + tactical reserves	Risk control; flexibility for IC-approved adjustments

Internal consistency check: Portfolio is consistent with Early Recovery + Rate-Cut + INR-weak regime. Every position traces to a row in the decision matrix. Inconsistency must be deliberate, not accidental.



90 sec · Macro View

Regime paragraph: GDP 7.6%, CPI < target, repo at 5.25% (–100bp), INR weak, FPI mixed. External risk: US tariffs and crude above \$85.

3 min · Sector View

OW: Banks (+3pp), Auto (+2pp), IT (+1pp). Neutral: Pharma, FMCG. No hard UW; FMCG at –3pp vs index. One driver per stance.

5 min · Company Picks

Three picks: ICICI Bank (Buy, 14%); Infosys (Buy, 6%); M&M (Buy, 3%). Thesis, valuation, peers rejected, position size, catalyst.

2 min · Risk Register

NIM compression > 30bp (banks); TCV falls >15% 2Q (IT); crude > \$90 (auto). Fundamental triggers, pre-specified.

3 min · Bear Case

Articulate the case against YOUR portfolio — as if short it. US recession + crude spike: IT compresses, auto demand collapses, FPI exits.

5 min · Q&A

Name the ONE piece of evidence in 90 days that would prove you wrong — in under 30 seconds. If it takes longer, the thesis is not specific enough.

THE MOST COMMON ADVERSARIAL IC / INTERVIEW QUESTIONS

"What would make you SELL your best idea?"

"How did you get an edge on this — what does the market NOT know?"

"Your GNPA is already at historic lows — where is the next NPA cycle?"

"Why is the IT sector overweight in India when US spending is slowing?"

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Sector	Primary Risk Trigger (Fundamental)	Secondary Trigger	Portfolio Action
Banking	GNPA inflects upward by >25bp over 2 quarters; or NIM compression > 30bp vs guidance	Credit growth falls below 8% sustained; personal loan stress rises sharply above 2019 levels	Reduce OW to neutral; trim ICICI first (highest weight); exit SBI tactical entirely
IT Services	Deal TCV falls >15% YoY in two consecutive quarters; or revenue guidance reset >100bp	USD/INR reverses sharply > 3% INR appreciation; US ISM services < 50 for 3 months	Trim IT to neutral; switch to TCS from Infosys (quality flight to safety)
Automobiles	Monthly volumes negative YoY for 3 consecutive months; or commodity costs rise >10%	Crude oil >\$90/bbl sustained; auto loan delinquencies rise above pre-COVID levels	Reduce OW to neutral; exit Tata Motors first; hold Maruti and M&M (FCF positive)
Pharmaceuticals	USFDA Form 483 or warning letter at major site for Sun/DRL/Cipla	US generic price erosion accelerates >5% QoQ on core therapeutic areas	Exit affected name immediately; rotate into domestic-heavy pharma or diagnostics
FMCG	Rural volume contraction for 2 consecutive quarters; or gross margin hit >150bp from commodity surge	CPI food inflation >6% sustained; rural wages deflate; monsoon < 90% of LPA	Exit ITC and weaker brands; hold HUL and Nestlé as the final core defensive layer

- Rule 1: Pre-specify every trigger BEFORE opening the position. Triggers written post-loss are rationalised, not used.
- Rule 2: Use FUNDAMENTAL triggers (earnings revision, margin deterioration, regulatory) — not price alone.
- Rule 3: Adjust position SIZE rather than exit entirely — unless the thesis is disproved, not just delayed.

Acknowledging limitations is not weakness — it constrains how much conviction the framework can support

Forecasting Error

Macro forecasts have wide error bands. GDP surprised upward twice in FY26. EIC must be robust to $\pm 50\text{bp}$ forecast error — if the conclusion collapses at $\pm 50\text{bp}$, the conviction is in the forecast, not the framework.

Market Efficiency

Public information is already in prices. Excess return requires either superior INTERPRETATION or a longer TIME HORIZON than the marginal investor. The question is never "what does GDP print" but "where is consensus wrong?"

Market Expectations

A stock can underperform on a POSITIVE earnings print if expectations were higher. Always check "what is priced in" (Bloomberg ECOS / earnings surprise history) before interpreting any data release.

Behavioural Bias

Anchoring on past multiples, confirmation bias, recency bias, home-country bias, and herding all corrupt EIC reasoning. Documented, dated theses + adversarial group peer review are the best antidotes.

Valuation Uncertainty

DCF outputs are sensitive to inputs no one knows precisely. Use ranges, not point estimates. Run a bear-case DCF alongside the base. If the range is too wide to be useful, say so rather than collapsing it to a fake precision.

Policy Risk

Tax, regulatory, and trade-policy shocks can invalidate sector theses overnight. India-US tariff developments in CY25 compressed IT multiples within weeks. Diversify regulatory exposure rather than assume it away.

Sources: Thaler & Sunstein (Nudge) · Kahneman (Thinking Fast & Slow) · Indian market case studies

Even with a perfect EIC framework, human psychology distorts both the analysis AND the resulting decisions. Recognising your own bias is a competitive advantage.

Anchoring Bias

Definition: Over-relying on the first piece of information encountered (e.g., the stock's 52-week high or the last analyst target price).

📌 India Example: Indian Case: After HDFC Bank fell 25% in 2023 post-merger, many analysts anchored to pre-merger P/B of 4.0x and kept "target price" at 4.0x. The anchor prevented adjusting to the new deposit-growth reality. The stock underperformed for 18 months.

Fix: Always re-derive the target price from fundamentals, never from prior targets. Ask: what P/B does CURRENT ROE and credit growth justify?

Recency Bias

Definition: Overweighting recent experience and extrapolating recent trends indefinitely — the most common error in EIC.

📌 India Example: Indian Case: IT sector multiple expanded to 35–40x P/E in 2021 as WFH drove 20%+ CC revenue growth. Analysts extrapolated 20% growth perpetually. By FY24, growth was 4–6%. Multiple collapsed 40%.

Fix: Always check whether recent performance is cyclical or structural. In EIC: is the GDP/sector growth currently above or below the long-run trend, and which way is it reverting?

Herding

Definition: Following the crowd — buying what everyone is buying, selling what everyone is selling — particularly dangerous in Indian equity markets with MF and FPI coordination.

📌 India Example: Indian Case: Mid and small-cap IT companies saw euphoric retail and MF inflows in 2021–22. Virtually all were overvalued. When the cycle turned, liquidity disappeared simultaneously, causing 50–70% drawdowns in names with no real fundamental deterioration.

Fix: Track the percentage of a company's float held by a single investor type. If >40% is retail or a single MF category, liquidity risk in a downturn is significant. Size positions accordingly.

Confirmation Bias

Definition: Seeking information that confirms your existing thesis and dismissing contradictory data — the most intellectually dangerous bias for a fund manager.

📌 India Example: Indian Case: Zee Entertainment bulls in 2021 focused on content library value and foreign strategic interest. They systematically discounted promoter pledge level (95% pledged), related-party concerns, and ZEEL management track record. The bear-case data was available — it was ignored.

Fix: For every position, mandate a written "devil's advocate" note: present the strongest case for why the stock is overvalued or the thesis is wrong. If you cannot write it, you have confirmation bias.

Economy

REGIME: Early Recovery · Rate-Cut Cycle · Low Inflation · Moderate External Risk

→ Favours: Rate-sensitive (Banks, Auto), INR beneficiaries (IT, Pharma), India premium vs EM peers justified

Industry (Shortlist)

5 sectors screened: Banks, IT, Auto (OW) · FMCG, Pharma (Neutral) · Porter's Five Forces confirms structural advantage in both selected sectors

→ Selected for deep-dive: Banking & IT (strongest macro-to-earnings linkage + Porter's moat confirmed)

Company Analysis

Buy: ICICI Bank, Infosys · **Hold:** HDFC Bank, TCS · **Selective:** HCLTech, SBI · DuPont confirms ROE quality · Earnings quality: FCF/PAT confirmed high

→ Position sizing: ICICI 14%; Infosys 6% — core portfolio anchors with named catalysts + pre-specified exits

Portfolio

OW Banks +3pp · OW Auto +2pp · OW IT +1pp · Neutral Pharma/FMCG · IC presentation ready · Behavioral biases documented

→ Internal consistency verified with regime paragraph. Every position traces to decision matrix row.

Questions compiled from Goldman Sachs · Kotak Mahindra AMC · HDFC AMC · ICICI Prudential AMC · Morgan Stanley · Motilal Oswal AMC

Economy & Macro

1. "Walk me through India's macro regime right now in 90 seconds."
2. "If the RBI cuts rates by 25bp today, which three sectors do you overweight — and WHY those three specifically?"
3. "India's CPI is at 0.25% — should we be worried about deflation? How does it change your portfolio?"
4. "How would a US recession affect Indian equities? Which sectors have the most negative correlation with US growth?"
5. "Is India's valuation premium vs China justified? Give me three reasons and one counterargument."

Industry & Sector

1. "Pitch me the Indian banking sector in 3 minutes. What's your key concern?"
2. "Generative AI — is it a threat or an opportunity for Indian IT? How does this change your IT allocation?"
3. "What would make you rotate OUT of Indian private banks and INTO defensives right now?"
4. "How does Porter's Five Forces apply to the Indian FMCG sector? Which force is changing the most?"
5. "The automobile sector is overweight in your portfolio. What's your downside scenario?"

Company & Valuation

1. "Pitch me a stock you'd buy today. You have 3 minutes. Start now." [Most common buy-side opening question]
2. "Explain the $P/E = 1/(K_e - g)$ relationship. Now tell me the implied growth for Infosys at 26x P/E."
3. "What is the difference between P/E and EV/EBITDA? When would you use each?"
4. "How would you check if a company's earnings are of high or low quality? Give me a framework."
5. "Walk me through a DuPont analysis for a bank vs a tech company — where does the analysis differ?"

Portfolio & Process

1. "Your best idea just fell 20%. What do you do?"
2. "How do you size positions? Walk me through your position-sizing framework."
3. "What is your biggest macro risk in the next 6 months? How are you hedging it in the portfolio?"
4. "How would you detect a behavioral bias in your own investment process?"
5. "Tell me about an investment thesis you had that turned out to be WRONG. What did you learn?"

"Edge" in investing means: your view is different from consensus AND correct. It cannot come from the same data and the same analysis as everyone else.

1

Information Edge

Finding data others haven't used

What it looks like: Checking SIAM monthly volume breakdown (not just the headline) and noticing rural 2W volumes recovering 3 months before urban PV.

How to build it: Go to primary sources. SIAM monthly data, company quarterly investor presentations, SEBI filings, NSE bulk/block deal data. The 80% of analysts who only read Bloomberg summaries give you the edge.

2

Analytical Edge

Processing the same data differently

What it looks like: Understanding that ICICI Bank's 17% credit growth in FY25 is BETTER than HDFC Bank's 8% — not despite, but because of the merger distortion.

How to build it: Go deeper on one variable per sector. DuPont, OCF/PAT, implied growth calculations. The analyst who solves for implied g before every pitch is analytically differentiated.

3

Time Horizon Edge

Being right on a longer timeline

What it looks like: Buying ICICI Bank in 2019 when governance concerns were real but structural improvements were underway. The 5-year CAGR was 25%+.

How to build it: Ask "what does this company look like in 5 years?" when everyone is focused on next quarter's NIM. Long-horizon edge is the most durable form of edge in India.

4

Behavioural Edge

Avoiding biases that peers fall into

What it looks like: NOT selling Maruti Suzuki in Oct 2025 when IIP auto fell 33.5% month-on-month due to festival holidays — recognising the seasonal distortion when everyone else saw a demand collapse.

How to build it: Keep a decision journal. For every exit decision, record the reason. Revisit in 6 months. Over time, you will identify your personal bias pattern (e.g., "I consistently sell defensives too early in a recovery").

Deliverable	Due	Format	What It Tests
Macro Dashboard + 6-Line Regime Paragraph	After Session 1	1 A4 page + dated paragraph	Variable identification; data sourcing; regime logic
Five Industry Dashboards (1 page each)	After Session 2	5 × standardised templates	Sector-level analysis; Porter's mapping; OW/N/UW stance
Six Company Dashboards + DuPont for 2 Companies	After Session 3	6 company sheets + DuPont tables	Seven-lens application; implied growth; margin of safety
Earnings Quality Flag Report (2 companies)	After Session 3	1 page per company on OCF/WC/governance	Earnings quality framework; red flag identification
Valuation Comparison Table	After Session 3	P/E, P/B, EV/EBITDA, ROE, implied g, target	Relative + intrinsic valuation; Gordon Growth test
EIC Integration Matrix (6–10 rows max)	Before Session 4	Sparse matrix: macro → action → trigger	Macro-to-company logic chain; decision discipline
Portfolio Allocation Sheet	In Session 4	Sector weights + stock weights + justification	Internal consistency; position-sizing discipline
IC Mock Presentation + Q&A	In Session 4	20 minutes; 6-segment format; peer questioning	Communication; conviction; adversarial Q&A handling
Decision Journal (First Entry + 6M Review)	After Session 4	1 page: thesis, entry, thesis tests, 6M review	Behavioral edge building; personal bias identification
Limitations Reflection Note	After Session 4	500 words: specific limitations in your own analysis	Critical thinking; recognising your own biases

Economy Variables	
Variable	Source / URL
Real GDP, Sectoral GDP, IIP	mospi.gov.in · Press Releases
CPI / WPI	mospi.gov.in · eaindustry.nic.in
Repo Rate, G-Sec Yield	data.rbi.org.in (DBIE)
CAD, BOP, FPI Flows	rbi.org.in/scripts/BS_PressReleaseDisplay
USD/INR, REER	rbi.org.in · tradingeconomics.com/india
PMI Manufacturing/Services	S&P Global PMI · HSBCIndia.co.in
India vs EM data	IMF WEO · World Bank Open Data

Industry & Company Variables	
Variable	Source / URL
Bank NIM, GNPA, Credit Growth	rbi.org.in Quarterly Banking Reports
IT Revenue CC%, TCV, FCF	Company SEC 6-K Filings · ir.infosys.com
Auto Monthly Volumes	siam.in (Monthly data, free)
Pharma USFDA Actions	fda.gov/inspections · Company Press Releases
Company Financials (5Y history)	screener.in (free) · Capitaline · Ace Equity
Porter's / Industry Research	ibef.org · ICRA Sector Reports · BCG
Governance, Related-Party Data	MCA21 filings · Company Annual Report Notes

THE EIC FRAMEWORK

Three levels. One decision. A defensible portfolio. A career-defining skill.

ECONOMY

Identify the macro regime
and its investment consequences

INDUSTRY

Translate the regime into
a defensible sector tilt

COMPANY

Select stocks where the macro
and sector thesis meet valuation

WHAT MARKETS REWARD



Differentiated view, not consensus repetition



Specificity, not vague directional calls



Pre-specified risk discipline, not post-facto
rationalisation



Intellectual honesty about limitations, not
false precision

"Data has no intrinsic investment value. It earns value only when it changes what you believe about earnings, discount rates, or risk — and you act on that belief with discipline."